



July 17, 2026

M. Wally Hicks, Legal Counsel
Office of Legal Counsel, Josephine County
500 NW 6th Street, Dept. 13
Grants Pass, OR 97526

Subject: Approval of Conflict of Interest Exception

Dear Mr. Hicks,

This letter serves as formal approval of the requested conflict of interest exception related to:

Individual: Chad Hansen
Position: Josephine County Budget Committee
Project/Activity: CDBG Project **H25012**
Nature of Conflict: Chad Hansen's prior membership on Josephine County's Budget Committee presents a conflict of interest due to his status as president of HBGP, and his son's (Austin Hansen) status as the principal worker for that entity. Federal law (24 C.F.R § 570.489(h)(2)) prohibits conflicts of interest during the individuals' tenure and for one year thereafter.

After reviewing all submitted documentation and confirming compliance with applicable regulations under 24 CFR 570.489, the agency has determined that granting this exception is justified and in the public interest. Key considerations for approval include:

1. The exception will not result in an unfair advantage to the individual.
2. Adequate disclosure and recusal measures are in place to prevent improper influence.
3. The project/activity benefits the community and aligns with program objectives.

This approval is granted with the understanding that all safeguards described in the request will be fully implemented and maintained. Any changes to the situation must be reported immediately.

Thank you for your diligence in ensuring compliance with program requirements.

Sincerely,

Tracy Loomis

Tracy Loomis
CDBG Program Analyst
Business Oregon
971-719-6710
tracy.loomis@biz.oregon.gov



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July 14, 2026

Business Oregon
Attn: Becky Bryant, PCED
775 Summer St NE, Suite 310
Salem, OR 97301-1280

Re: CDBG Conflict Of Interest Exception – HBGP, Inc.

Ms. Bryant:

Pursuant to 24 C.F.R. § 570.489(h), Josephine County requests an exception to an apparent conflict of interest regarding its subrecipient, Home Bridging GP, Inc. (HBGP).

CONTROLLING LAW

24 C.F.R. § 570.489(h) prohibits conflicts of interest. The section applies to persons “who are in a position to participate in a decisionmaking process.” The section also allows for exceptions. Pursuant to section (h)(4), the state may grant exceptions upon written request of the unit of general local government provided certain criteria are satisfied. An exception may be granted by the state after it is determined that such an exception will serve to further the purpose of the CBDG and the effective and efficient administration of the program or project.

NATURE OF CONFLICT

Chad Hansen's prior membership on Josephine County's Budget Committee presents a conflict of interest due to his status as president of HBGP, and his son's status as the principal worker for that entity. Federal law (24 C.F.R § 570.489(h)(2)) prohibits conflicts of interest during the individuals' tenure and for one year thereafter.



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TIMELINE OF EVENTS AND CURRENT STATUS

October 21, 2020 – HBGP registered as a business with the Secretary of State listing Chad Hansen as the President and Registered Agent. HBGP began handling housing rehabilitation for the City of Grants Pass.

November 24, 2020 – Josephine County applied for, and was awarded, the H20011 CDBG Housing Rehabilitation grant. The County contracted with Mid Rogue Foundation to be the subrecipient who did the work.

July 3, 2024 – Josephine County applied for and was awarded the H24007 CDBG Housing Rehabilitation grant. After sending out a Request for Qualifications, the County formed a selection committee of three members, and the committee chose Home Bridging to be the subrecipient based on that entity's successful record of doing the same work for the City of Grants Pass.

November 14, 2024, until present – HBGP has worked as the County's subrecipient and has successfully completed 21 Housing Rehabilitation projects consistent with the requirements of the CBDG. Chad Hansen has been, and still is, the president of HBGP, and his son Austin Hansen oversees the operation. The County makes payments to HBGP as the subrecipient. Chad Hansen stated to me on 6/25/26 that he has never received any payment whatsoever from HBGP.

April 11, 2025 – Chad Hansen was appointed to the Josephine County Budget Committee as a lay member for a one-year term that expired on March 31, 2026. The position is uncompensated. Because Budget Committees are statutorily required as part of the budget process for local governments, its lay members are appointed public officials.

June 9, 2025 – Chad Hansen voted, along with the rest of the Budget Committee, in favor of Josephine County's proposed overall budget for FY 2025-26. One of the pages of the budget document included the CBDG of \$480,000. The budget document did not specifically list Housing Rehabilitation as the CBDG's purpose.

March 19, 2026 – Josephine County applied for, and received approval for, the H25012 CDBG Housing Rehabilitation grant. A copy of the contract was received on April 23, 2026, and the deadline to return the agreement to Business Oregon was June 22, 2026.

Spring, 2026 – Because the County's CBDG administrator, the Rogue Valley Council of Governments, charged less for administrative expenses than was budgeted, the County



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and HBGP agreed to do an additional project valued at around \$14,000. Amendment #1 to the grant agreement and a comparable amendment to the subrecipient contract were approved by Business Oregon.

June, 2026 – during legal review of the amendments and the CBDG renewal documents, it was discovered that section 4.B of the grant agreement and VII.B of the subrecipient agreement identify participation in a decision-making process as a conflict of interest.

June 17, 2026 – the County applied for, and was granted, a 30 day extension on the deadline to approve the CBDG agreement.

JUSTIFICATION FOR EXCEPTION

24 C.F.R § 570.489(h)(4)(i): A disclosure of the nature of the conflict, accompanied by an assurance that there has been public disclosure of the conflict and a description of how the public disclosure was made;

The conflict was publicly disclosed at a public meeting of the Board of Josephine County Commissioners on July 14, 2026. The meeting agenda is attached hereto as an exhibit.

24 C.F.R § 570.489(h)(4)(ii): An opinion of the attorney for the State or the unit of general local government, as appropriate, that the interest for which the exception is sought would not violate State or local law.

I, Wally Hicks, am the Legal Counsel for Josephine County. The interest for which this exception is being sought is to allow HBGP to administer the Housing Rehabilitation program to Josephine County residents as the subrecipient of the CDBG. Per state law, an actual conflict of interest exists when the action, decision, or recommendation of the public official would financially impact a business associated with a public official, or a business associated with the public official's relatives. ORS 244.020(1).

The Oregon Government Ethics Commission's Guide for Public Officials (2026) includes the following provisions:

"Budget Vote Exception - If the official action being taken is an adoption of a local budget that includes compensation or benefits for the public official or their relative, the public official must publicly announce their



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actual conflict of interest, specifically stating that the budget includes compensation or benefits for themselves or their relative. Once that announcement is made, the public official may participate in the discussion and may vote on the adoption of the budget. This exception does not apply to voting on the approval of the adoption or the amendment of any compensation, stipend, or other benefits." Page 41.

"If someone files a complaint with the Commission because a public official failed to disclose a conflict of interest, and the Commission determines the public official violated Ethics Law, can the Commission undo the action or decision taken by the public official?"

No. The Commission does not have the authority to undo the public body's actions or to remove a public official from office. The Commission can only impose penalties ranging from a letter of education or reprimand to a financial penalty." Page 57.

Thus, if Chad Hansen did violate an ethics law, the violation would be failure to declare a conflict rather than discussing and voting on the budget. And even if an ethics violation did occur, the budget on which Hansen voted would not be undone.

Chad Hansen's membership on the County's Budget Committee was for the purpose of providing volunteer public service. Hansen voted 'No' on the County's proposed budget five times before eventually voting 'Yes' along with all other members of the Budget Committee. Hansen has stated that he did not even think about the CBDG grant when he was considering the County budget. Hansen has stated that, had he realized there could be a conflict, he would not have joined the Budget Committee. Failure to declare a conflict of interest is an ethics violation that is personal to the individual and is not a ruling that a local government has violated the law. The County's budget was lawfully adopted, and the CBDG was lawfully included therein.

Therefore, my legal opinion is that granting the exception being sought – allowing HBGP to be the County's subrecipient – would not violate State or local law.

24 C.F.R § 570.489(h)(5)(i): Whether the exception would provide a significant cost benefit or an essential degree of expertise to the program or project which would otherwise not be available;



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Prior to becoming Josephine County's subrecipient, HBGP did the same kind of work for the City of Grants Pass. The County selected HBGP as its subrecipient in 2024 based on the entity's demonstrated record of success and an indication that HBGP would provide a significant cost benefit. The County believes it has achieved a cost benefit relative to the prior subrecipient, or to a theoretical new subrecipient should that become necessary. HBGP has acquired, and demonstrated, an essential degree of expertise by successfully completing 21 Housing Rehabilitation projects consistent with the requirements of the CBDG.

24 C.F.R § 570.489(h)(5)(ii): Whether an opportunity was provided for open competitive bidding or negotiation;

The County sent a Request for Qualifications to the prior vendor and HBGP with a due date of November 17, 2023. Both parties applied, and the applications were reviewed and scored by three County employees. HBGP had the highest score and was selected on that basis as the sub-grantee.

24 C.F.R § 570.489(h)(5)(iii): Whether the person affected is a member of a group or class of low or moderate income persons intended to be the beneficiaries of the assisted activity, and the exception will permit such person to receive generally the same interests or benefits as are being made available or provided to the group or class;

The County has no evidence that Chad Hansen, Austin Hansen, or any of HBGP's professional affiliates are members of a group or class of persons intended to be the beneficiaries of the Housing Rehabilitation program. The County has no evidence that the exception would permit such persons to receive generally the same interests or benefits as are being made available to the group or class.

24 C.F.R § 570.489(h)(5)(iv): Whether the affected person has withdrawn from his or her functions or responsibilities, or the decision-making process with respect to the specific assisted activity in question;



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Chad Hansen is still the president of HBGP. Chad Hansen has not been on the County's Budget Committee since at least March 31, 2026. Chad Hansen currently holds no appointed or elected positions with Josephine County, and he is not involved in the decision making process for the County's budget. If, in the future, Chad Hansen holds an elected or appointed position with Josephine County, then such a circumstance could render HBGP ineligible to be the County's subrecipient thereafter.

24 C.F.R § 570.489(h)(5)(v): Whether the interest or benefit was present before the affected person was in a position as described in paragraph (h) (3) of this section;

HBGP has worked as the County's subrecipient since November 14, 2024, and Chad Hansen was appointed to the Budget Committee on April 11, 2025. Thus, the interest or benefit was present before the affected person was in the relevant position.

24 C.F.R § 570.489(h)(5)(vi): Whether undue hardship will result either to the State or the unit of general local government or the person affected when weighed against the public interest served by avoiding the prohibited conflict;

The State and the County would need to vet and approve another subrecipient if HBGP is deemed to be ineligible. Vetting is a formal process which requires public resources, principally in the form of work done by personnel, and time to accomplish. Josephine County's housing rehabilitation program would be suspended unless and until a new subrecipient can be identified and approved. Forty-six people have requested notification as soon as the application period opens, and the County regularly receives more requests. Thus, the public interest of allowing this exception outweighs the public interest of requiring a declaration of a conflict of interest prior to taking an otherwise legally permissible vote on the County's Budget.

24 C.F.R § 570.489(h)(5)(vii): Any other relevant considerations.

Chad Hansen is currently one of two candidates running for a position on the Board of Josephine County Commissioners. The election will occur on November 10, 2026, and the new commissioner will take office on January 4, 2027. Chad Hansen understands that if he is elected, then a new exception from the State would be required



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for HBGP to continue as the subrecipient of the CDBG. Chad Hansen and the County understand that, by approving an exception in this instance, the State is making no assurances that a future exception would be granted.

Based on the reasons stated herein, the Board of Josephine County Commissioners supports this application for an exception to the conflict of interest requirements in this case. I am the County's point of contact regarding this application for an exception. Please contact me if you want to discuss this request, or if further information is needed. Josephine County appreciates the productive and successful nature of its ongoing relationship with Business Oregon.

Sincerely,

Wally Hicks

WH/nm
enclosure



Josephine County Board of Commissioners

Ron A. Smith, Chair – Colene M. Martin, Vice-Chair, Gary L. Richardson, Commissioner

Tuesday, July 14, 2026

1:30 p.m. County Administration Workshop (BCC Conference Room)

The meeting will be live streamed on the County's website and can be viewed at

<https://www.josephinecounty.gov/livestream>

or on the Josephine County YouTube channel <https://www.youtube.com/@JosephineCountyOR/streams>.

1. Declaration of Potential Conflicts of Interest

2. Department Business

a. Legal Counsel

1. 4H Extension – OSU Service District IGA
2. CDBG Conflict of Interest Letter
3. Jail & Juvenile Justice Levy renewal - draft resolution, ballot title and explanatory statement
4. SRS Election Allocation Form
5. Personnel Policy, article 4, Section 2 – At-Will Employment
6. County Administrative Policies and Procedures and County Personnel Policy Manual

7. EXECUTIVE SESSION

- a. Gabbert, et al v. Josephine County; USDC 1:23-CV-01432 – ORS 192.660(2)(h)
- b. Interpleader for surplus proceeds cases – ORS 192.660(2)(h)

Legal Update Continued

8. Gabbert, et al v. Josephine County; USDC 1:23-CV-01432
9. Interpleader for surplus proceeds cases

b. Public Health- Animal Shelter

1. Animal Shelter Facility Upgrades

c. Public Works

1. Purchase of 9 Vehicles- Josephine County Fleet

d. Human Resources

1. Invoice for CIS in the amount of \$1,255,670.00

3. Board Business

- a. Communications
- b. 4H Extension Reserve

4. Other: (ORS 192.640(1)...Commissioners may introduce other matters for consideration by the entire board)

5. Additional Subject Matters from Commissioners/Announcements:

The Josephine County Board of Commissioners highly encourages citizens to sign up for citizen alerts. Please click on the link below to sign up:

<https://member.everbridge.net/1332612387832182/login>

STATE OF OREGON
COMMUNITY DEVELOPMENT BLOCK GRANT PROGRAM
REGIONAL HOUSING REHABILITATION GRANT CONTRACT

Josephine County Housing Repair & Rehabilitation Program

This Contract, project number H25012, dated as of the date of its last signature, is made by the State of Oregon, acting by and through its Oregon Infrastructure Finance Authority of the Oregon Business Development Department (“OBDD”), and Josephine County, Oregon (“Recipient”). This Contract becomes effective on the date (“Effective Date”) when fully signed and approved as required by applicable law.

This Contract includes the following parts, listed in descending order of precedence for purposes of resolving any conflict between two or more of the parts:

- A. This Contract without any Exhibits;
- B. Special Conditions of Award for Housing Rehabilitation Grant Contracts, attached as Exhibit A;
- C. Recipient’s Certification of Compliance with State and Federal Laws and Regulations attached as Exhibit B, and Certification Regarding Lobbying, attached as Exhibit C; and
- D. The approved Project Budget showing breakdown of sources of funds, attached as Exhibit D.

The information in Exhibit E is required by 2 CFR § 200.332 (b)(1) and is attached to this Contract for information purposes only.

SECTION 1 - GRANT

- A. Grant. In reliance upon Recipient’s application dated 30 September 2025 (“Application”), and signed certifications in the form of Exhibit B and Exhibit C, and subject to the terms and conditions of this Contract, OBDD agrees to provide Recipient Community Development Block Grant (“CDBG”) funds in the amount of \$500,000, the use of which is limited to the project as defined in Sections 2.A. and 2.B. (“Project”). The use of these funds is also subject to the Project Budget in Exhibit D and the Special Conditions of Award for Housing Rehabilitation Grant Contracts in Exhibit A.
- B. Disbursement. OBDD shall disburse the grant funds to Recipient on an expense reimbursement or costs-incurred basis. Recipient must request disbursements of grant funds on an OBDD-provided or OBDD-approved disbursement request form. All expenses and incurred costs are subject to approval by OBDD.
- C. Appropriations. All disbursements are subject to the condition that OBDD, in the reasonable exercise of its administrative discretion, has sufficient funding, appropriations, limitations, allotments and other expenditure authority to make the disbursement.

SECTION 2 - PROJECT ACTIVITIES

- A. Recipient agrees to perform the Project activities in accordance with the Project activities described in Recipient’s Application accepted by OBDD, and this Section 2. Any changes to the Project activities must receive prior written approval by OBDD.
- B. Recipient shall provide grants or zero-percent interest deferred loans to low- and moderate-income (as defined in the CDBG Program Guidelines) homeowners in the unincorporated areas of Josephine County, the incorporated city of Cave Junction, and within the urban growth boundary

of Grants Pass but excluding all areas of the City of Grants Pass within its incorporated city limits, to upgrade their homes and eliminate safety and health hazards. Homes with identified substandard conditions must be the primary target for rehabilitation funds. For each project, Recipient shall ensure that a housing construction inspector reviews all work performed and inspects the property to assure compliance with CDBG program standards. Recipient shall ensure homeowners employ only licensed and bonded contractors to have the repair work done.

- C. All Project activities must be completed, and all disbursement requests (except disbursement requests for audit costs, if applicable) must be submitted to OBDD, within 24 months from the Effective Date ("Project Completion Deadline").
- D. Recipient shall market the CDBG program to ensure that interested and eligible homeowners are aware of the program and how to apply for assistance. Recipient must submit all such materials to OBDD for prior review and approval.
- E. Reserved.
- F. Unless exempt from federal audit requirements, the audit for the final fiscal year of the Project must be submitted to OBDD as soon as possible after it is received by Recipient, but in any event no later than December 31 after the Project Completion Deadline.
- G. Determination. OBDD has made the determination that Recipient is a subrecipient, in accordance with 2 CFR 200.330. Recipient agrees to monitor any local government or non-profit organization subrecipient to whom it may pass funds.
- H. Misexpended or Unexpended CDBG Funds. Any CDBG funds disbursed to Recipient, or any interest earned by Recipient on the CDBG funds, that is not used according to this Contract or that remain unexpended after the earlier of the Project Completion Deadline, the date the Project is completed, or the date that this Contract is terminated shall be immediately returned to OBDD, unless otherwise directed by OBDD in writing.

SECTION 3 - COMPLIANCE WITH LAWS

- A. Recipient agrees to comply, and cause its agents, contractors and subrecipients to comply, with all applicable state and federal laws, regulations and policies applicable to the use, administration, distribution and expenditure of the funds provided under this Contract, including but not limited to the following:
 - (1) Title I of the Housing and Community Development Act of 1974, 42 USC 5301-5321 (the "Act") and with all applicable laws, rules and regulations.
 - (2) Section 104(d) of the Housing and Community Development Act of 1974, as amended, 42 USC 5304(d), and the regulations promulgated pursuant thereto, and 12 USC 1735b.
 - (3) Section 3 of the Housing and Urban Development Act of 1968, 12 USC §1701u (1994) (employment opportunities to lower income people in connection with assisted projects), and the regulations promulgated pursuant thereto, 24 CFR Part 75.
 - (4) Title VI of the Civil Rights Act of 1964, 42 USC 2000a-2000e, and its regulations at 24 CFR 1.1-1.10. Recipient will immediately take any measures necessary to comply with these laws and regulations.
 - (5) Title VIII of the Civil Rights Act of 1968, as amended, popularly known as the Fair Housing Act, 42 USC 3601-3631, *as amended*.

- (6) Exec. Order No. 11063, 46 F.R. 1253 (1981), 42 USC 1982 and its regulations at 24 CFR 107.10-107.65.
 - (7) Exec. Order No. 11246, 30 F.R. 12319 (1965), *as amended by* Exec. Order No. 11375, 32 F.R. 14303 (1967), 42 USC 2000e through 200 e-14, and its regulations at 41 CFR 60-1.1 to 60-999.1.
 - (8) The Age Discrimination Act of 1975, 42 USC 6101-6107.
 - (9) Section 504 of the Rehabilitation Act of 1973, 29 USC 794.
 - (10) Section 302 of the Lead-Based Paint Poisoning Prevention Act, 42 USC 4822, and the regulations promulgated pursuant thereto, 24 CFR 35.1-35.98.
 - (11) The Architectural Barriers Act of 1968, 42 USC 4151-4156.
 - (12) 36 CFR 800.1-800.16 (Protection of Historic Properties) and Exec. Order No. 11,988, 42 Fed. Reg. 26951 (1997), 42 USC 4321 (Floodplain Management), and Exec. Order No. 11,990, 42 Fed. Reg. 26961 (1997), 42 USC 4321 (Protection of Wetlands).
 - (13) 29 CFR Part 3.
 - (14) ORS 656.017 regarding Workers Compensation coverage, unless exempt under ORS 656.126. Recipient shall insure that each of its contractors and subcontractors comply with these requirements.
- B. Recipient agrees to comply, and cause its agents, contractors and subgrantees to comply, with special program and grant administration requirements imposed by OBDD related to the acceptance and use of funds provided under this Contract (which requirements have been approved in accordance with the procedures set forth in the Grant Management Handbook, and OBDD's 2025 Program Guidelines (Method of Distribution), which includes requirements regarding "Outcome Performance Measurement Reporting" by Recipient.
 - C. When procuring goods or services to be paid for in whole or in part with Grant funds, Recipient shall comply with the Oregon Public Contracting Code, Chapters 279A, B, and C. The Oregon Model Rules for public bidding and contracting in Oregon Administrative Rules Chapter 137, Divisions 046, 047, 048 and 049 apply if Recipient or its public contract review board has not adopted its own rules. If Recipient or its public contract review board has adopted its own rules, those rules apply.
 - D. Recipient shall collect, maintain, and provide economic benefit data requested by OBDD from Recipient on the economic development benefits of the Project, from the Effective Date of this Contract until six (6) years after the Project Completion Deadline. Upon such request by OBDD, Recipient shall, at Recipient's expense, prepare and provide to OBDD the requested data within the time specified in the request. The data provided shall include all specific requested information such as any new direct permanent or retained jobs resulting from the Project and other information to evaluate the success and economic impact of the Project.

SECTION 4 - COVENANTS OF RECIPIENT

- A. Recipient covenants its Project will meet the following national objective:
Activities primarily benefiting low- and moderate-income persons (24 CFR 570.483(b)).
- B. No employee, agent, consultant, officer, or elected or appointed official of Recipient, or any subrecipient receiving CDBG funds who exercises or has exercised any functions or responsibilities with respect to Project activities, or any person who is in a position to participate

in a decision-making process or gain inside information with regard to the Project, or those with whom they have family or business ties, during his or her tenure or for one year thereafter, may have a financial interest or benefit in, or obtain a financial interest or benefit from any Project activity, or have any interest, direct or indirect, in any contract, subcontract, or agreement with respect to the Project.

Recipient shall also establish safeguards to prohibit employees from using their position for a purpose that is or gives the appearance of being motivated by a desire for private gain for themselves or others, particularly those with whom they have family, business or other ties.

- C. Recipient shall incorporate, or cause to be incorporated, in all purchase orders, contracts or subcontracts regarding the procurement of property or services paid for in whole or in part with CDBG funds any clauses required by federal statutes, executive orders and implementing regulations to be so incorporated.
- D. Recipient shall, and shall cause all participants in lower tier covered transactions to include in any proposal submitted in connection with such transactions a certification that neither it nor its principals is presently debarred, suspended, proposed for debarment, declared ineligible, or voluntarily excluded from participation from the covered transaction.
- E. Recipient shall insert a clause in all documents prepared with the assistance of grant funds acknowledging the participation of federal and state CDBG funding.
- F. Recipient shall maintain all fiscal records relating to this Contract in accordance with generally accepted accounting principles for state and municipal corporations established by the National Committee on Governmental Accounting in a publication entitled "Governmental Accounting, Auditing and Financial Reporting (GAAFR)." In addition, Recipient shall maintain any other records pertinent to this Contract in such a manner as to clearly document Recipient's performance. For fair housing and equal opportunity purposes, and as applicable, Recipient's records shall include data on the racial, ethnic and gender characteristics of persons who are applicants for, participants in, or beneficiaries of the program. Recipient acknowledges and agrees that OBDD and the Oregon Secretary of State's Office and the federal government (including but not limited to U.S. Department of Housing and Urban Development ("HUD"), the Inspector General, and the General Accounting Office) and their duly authorized representatives shall have access to all books, accounts, records, reports, files, and other papers, or property pertaining to the administration, receipt and use of CDBG funds and necessary to facilitate such reviews and audits in order to perform examinations and audits and make excerpts and transcripts. Recipient shall retain and keep accessible all such books, accounts, records, reports, files, and other papers, or property for a minimum of five (5) years from closeout of the grant hereunder, or such longer period as may be required by applicable law, or until the conclusion of any audit, controversy or litigation arising out of or related to this Contract, whichever date is later.
- G. Federal audit requirements. The Grant is federal financial assistance, and the source of funding for the purposes of the Federal Audit is Federal Assistance Listing (formerly CFDA) number and title is "14.228 Community Development Block Grant."
 - (1) If Recipient expends federal funds of \$1,000,000 or more in Recipient's fiscal year, it is subject to audit conducted in accordance with the provisions of 2 CFR part 200, subpart F. Recipient, if subject to this requirement, shall at its own expense submit to OBDD a copy of, or electronic link to, its annual audit subject to this requirement covering the funds expended under this Contract and shall submit or cause to be submitted to OBDD the annual audit of any subrecipient(s), contractor(s), or subcontractor(s) of Recipient responsible for the

financial management of funds received under this Contract.

- (2) Audit costs for audits not required in accordance with 2 CFR part 200, subpart F are unallowable. If Recipient did not expend \$1,000,000 or more in Federal funds in its fiscal year, but contracted with a certified public accountant to perform an audit, costs for performance of that audit shall not be charged to the funds received under this Contract.
 - (3) Recipient shall save, protect and hold harmless OBDD from the cost of any audits or special investigations performed by the Federal awarding agency or any federal agency with respect to the funds expended under this Contract. Recipient acknowledges and agrees that any audit costs incurred by Recipient as a result of allegations of fraud, waste or abuse are ineligible for reimbursement under this or any other agreement between Recipient and the State of Oregon.
- H. Recipient shall save, protect and hold harmless OBDD from the cost of any audits or special investigations performed by the Federal awarding agency or any federal agency with respect to the funds expended under this Contract. Recipient acknowledges and agrees that any audit costs incurred by Recipient as a result of allegations of fraud, waste or abuse are ineligible for reimbursement under this or any other agreement between Recipient and the State of Oregon
- I. Recipient shall require and cause its subrecipients to comply with the requirements of Sections 4F., 4G. and 4H. above.
- J. Recipient shall follow applicable public records law to provide citizens with reasonable access to records regarding the use of the CDBG funds. Consistent with public records law, Recipient shall, and shall cause or require its subrecipients to, protect the confidentiality of all information concerning applicants for and recipients of services funded by this Contract. It shall not release or disclose any such information except as necessary for the administration of the program(s), as authorized in writing by the applicant or recipient or as required by law. All records and files shall be appropriately secured to prevent access by unauthorized persons. Recipient shall, and shall cause or require its subrecipients to, ensure that all its officers, employees and agents are aware of and comply with this confidentiality requirement.
- K. Recipient has adopted and will enforce (1) a policy prohibiting the use of excessive force by law enforcement agencies within its jurisdiction against any individuals engaged in non-violent civil rights demonstrations and (2) a policy of enforcing applicable state and local laws against physically barring entrance to or exit from a facility or location which is the subject of such non-violent civil rights demonstration within its jurisdiction in accordance with Section 104(1) of the Act.
- L. Recipient shall cause all its first tier contractors or subrecipients receiving subcontracts exceeding \$100,000 to execute and file with Recipient the certification set forth in Exhibit C hereof.
- M. Recipient shall ensure no lead-based paint is used in residential units.
- N. Monitoring obligations:
- (1) Recipient shall fully cooperate with OBDD's monitoring activities, including but not limited to the following: Review of single audits, arrange for limited scope audits, on-site visits, reviewing Recipient reports, requiring prior approval, requiring third party evaluations, providing training and technical assistance, making telephone calls and using such other means of communication such as e-mail in order to ask or answer questions.

- (2) Recipient shall monitor the activities of its subrecipients to ensure that awards are used for authorized purposes in compliance with applicable laws, regulations and federal grant agreements.
- O. Recipient must obtain and maintain supporting documentation for all expenditures and requests for grant funds, including those of subrecipients under their respective contracts with Recipient, with properly executed payroll and time records, invoices, contracts, vouchers, orders, canceled checks and any other accounting documents in accordance with generally accepted accounting principles, Oregon Administrative Rules and applicable federal requirements specified herein. OBDD may require such other information as it deems necessary or appropriate in its sole discretion.
- P. (1) Contributory Liability and Contractor Indemnification—Tort Claims.
- (a) If any third party makes any claim or brings any action, suit or proceeding alleging a tort as now or hereafter defined in ORS 30.260 (“Third-Party Tort Claim”) against a party to this Contract (the “Notified Party”) with respect to which the other party may have liability, the Notified Party must promptly notify the other party in writing and deliver a copy of the claim, process, and all legal pleadings related to the Third-Party Tort Claim. Either party is entitled to participate in the defense of a Third-Party Tort Claim, and to defend a Third-Party Tort Claim with counsel of its own choosing. The foregoing provisions are conditions precedent for either party’s liability to the other in regards to the Third-Party Tort Claim.
- If the parties are jointly liable (or would be if joined in the Third-Party Tort Claim), the parties shall contribute to the amount of expenses (including attorneys’ fees), judgments, fines and amounts paid in settlement actually and reasonably incurred and paid or payable in such proportion as is appropriate to reflect their respective relative fault. The relative fault of the parties shall be determined by reference to, among other things, the parties’ relative intent, knowledge, access to information and opportunity to correct or prevent the circumstances resulting in such expenses, judgments, fines or settlement amounts. Each party’s contribution amount in any instance is capped to the same extent it would have been capped under Oregon law if that party had sole liability in the proceeding. This Section shall survive termination of this Contract.
- (b) Recipient shall take all reasonable steps to require its contractor(s) that are not units of local government as defined in ORS 190.003, if any, to indemnify, defend, save and hold harmless the State of Oregon and its officers, employees and agents (“Indemnatee”) from and against any and all claims, actions, liabilities, damages, losses, or expenses (including attorneys’ fees) arising from a tort (as now or hereafter defined in ORS 30.260) caused, or alleged to be caused, in whole or in part, by the negligent or willful acts or omissions of Recipient’s contractor or any of the officers, agents, employees or subcontractors of the contractor (“Contractor Tort Claims”). It is the specific intention of the parties that the Indemnatee shall, in all instances, except for Contractor Tort Claims arising solely from the negligent or willful acts or omissions of the Indemnatee, be indemnified by the contractor from and against any and all Contractor Tort Claims. This Section shall survive termination of this Contract.
- (2) Indemnity; Release—Claims Other Than Torts.
- (a) Except for Third-Party Tort Claims and Contractor Tort Claims as provided in Section 4P.(1) above, to the extent authorized by law, Recipient shall defend, indemnify, save and hold harmless and release the State, OBDD, and their officers, employees and agents from and against any and all claims, demands, suits, actions, proceedings, losses, damages,

liability and court awards including but not limited to costs, expenses, and reasonable attorneys' fees incurred (collectively, "Non-Tort Claims"), related to any actual or alleged act or omission by Recipient, or its officers, employees, contractors, or agents in connection with this Contract, or the Project, PWR or Davis-Bacon Act requirements, including without limitation, any expenses incurred or amounts paid in connection with an inquiry, investigation, audit or similar proceeding by BOLI, the U.S. Department of Labor, the Internal Revenue Service, Treasury and any other federal, state, governmental or quasi-governmental body with regulatory jurisdiction arising from the Project or the actions or omissions of Recipient, or its officers, employees, contractors, or agents.

- (b) Notwithstanding the foregoing, neither Recipient nor any attorney engaged by Recipient may defend any Non-Tort Claim in the name of the State of Oregon, nor purport to act as legal representative for the State of Oregon, without first receiving from the Oregon Attorney General in a form and manner determined appropriate by the Oregon Attorney General, authority to act as legal counsel for the State of Oregon, nor may Recipient settle any Non-Tort Claim on behalf of the State of Oregon without the approval of the Oregon Attorney General. If the State of Oregon assumes its own defense, Recipient will be liable for the attorney fees of the State of Oregon, including but not limited to any fees charged by the Oregon Department of Justice. The provisions of this Section are not to be construed as a waiver by the State of Oregon, OBDD, of any immunity, defense or limitation on damages provided for under Chapter 30 of the Oregon Revised Statutes or under the laws of the United States or other laws of the State of Oregon. If attorney fees are awarded to Recipient, such attorney fees shall not exceed the rate charged to OBDD by its attorneys.

SECTION 5 - DEFAULT; REMEDIES; TERMINATION

A. Defaults. Any of the following constitutes an "Event of Default":

- (1) If Recipient, or any of its subrecipients, violate the terms and conditions of this Contract or applicable law, including but not limited to OAR 123-080-0040, and that violation continues for a period of thirty (30) calendar days after written notice specifying such violation is given to Recipient by OBDD. In such case and in addition to any other remedy available to OBDD, OBDD may, in its sole and absolute discretion, require that Recipient obtain prior OBDD approval for any expenditures that would otherwise be eligible for reimbursement under this Contract.
- (2) If Recipient is unable to commence the Project within four (4) months following the Effective Date of this Contract.

B. Remedies. OBDD may seek any remedy available at law or in equity against Recipient for failure to comply with provisions of this Contract or OAR Chapter 123, Division 80. Remedies may include, but are not limited to any one or more of the following:

- (1) Terminating OBDD's commitment and obligation to make the Grant or disbursements of Financing Proceeds under the Contract.
- (2) Barring Recipient from receiving future awards.
- (3) Withholding disbursements otherwise due to Recipient under this Contract.
- (4) Requiring repayment of all or a portion of the Grant and interest on all or any portion of the Grant earned by Recipient on those Grant funds.
- (5) Terminating the Contract.

C. Termination. OBDD may terminate this Contract immediately upon written notice to Recipient:

- (1) If OBDD fails to receive funding, or appropriations, limitations or other expenditure authority at levels sufficient, in OBDD's exercise of its reasonable discretion, to fund the Project.
- (2) If federal or state laws, regulations or guidelines are modified or interpreted in such a way that either the CDBG grant or payments to be made hereunder are prohibited or OBDD is prohibited from paying for the CDBG grant program from the planned funding source(s).
- (3) As otherwise provided in this Contract.

In the event of termination under this Section or for any Event of Default, Recipient shall deliver to OBDD all unexpended money, property, finished or unfinished documents, data, financial reports, audit reports, program reports, studies and reports purchased or prepared by Recipient, within sixty (60) calendar days of the date of termination. Termination of this Contract shall not impair or invalidate any remedy available to OBDD or Recipient hereunder, at law, or otherwise.

SECTION 6 - MISCELLANEOUS PROVISIONS

- A. No Remedy Exclusive; Waiver; Notice. No remedy available to OBDD is intended to be exclusive, and every remedy will be in addition to every other remedy. No delay or omission to exercise any right or remedy will impair or is to be construed as a waiver of such right or remedy. No single or partial exercise of any right, power or privilege under this Contract shall preclude any other or further exercise thereof or the exercise of any other such right, power or privilege. OBDD is not required to provide any notice in order to exercise any right or remedy, other than notice required in Section 5 of this Contract.
- B. Notices and Communication. Except as otherwise expressly provided in this Contract, any communication between the parties or notices required or permitted must be given in writing by personal delivery, email, or by mailing the same, postage prepaid, to Recipient or OBDD at the addresses set forth on the signature page of this Contract, or to such other persons or addresses that either party may subsequently indicate pursuant to this Section.
- Any communication or notice by personal delivery will be deemed effective when actually delivered to the addressee. Any communication or notice so addressed and mailed will be deemed to be received and effective five (5) days after mailing. Any communication or notice given by email becomes effective 1) upon the sender's receipt of confirmation generated by the recipient's email system that the notice has been received by the recipient's email system or 2) the recipient's confirmation of receipt, whichever is earlier. Notwithstanding this provision, the following notices may not be given by email: notice of default or notice of termination.
- C. Third Party Beneficiaries. OBDD and Recipient are the only parties to this Contract and are the only parties entitled to enforce its terms. Nothing in this Contract gives, is intended to give, or shall be construed to give or provide any benefit or right, whether directly, indirectly or otherwise, to third persons unless such third persons are individually identified by name herein and expressly described as intended beneficiaries of the terms of this Contract.
- D. No Limitations on Actions in Exercise of Governmental Powers. Nothing in this Contract is intended, nor shall it be construed, to in any way limit the actions of OBDD in the exercise of its governmental powers. It is the express intention of the parties hereto that OBDD shall retain the full right and ability to exercise its governmental powers with respect to Recipient, the grant funds, and the transactions contemplated by this Contract to the same extent as if it were not a

party to this Contract, and in no event shall OBDD have any contractual liability arising under this Contract by virtue of any exercise of its governmental powers.

- E. Time of the Essence. Time is of the essence in the performance of any and all obligations under this Contract.
- F. No Construction against Drafter. This Contract is to be construed as if the parties drafted it jointly.
- G. Severability. If any term or condition of this Contract is declared by a court of competent jurisdiction as illegal, invalid or unenforceable, that holding will not invalidate or otherwise affect any other provision.
- H. Amendments, Waivers. This Contract may not be amended without the prior written consent of OBDD (and when required, the Department of Justice) and Recipient. This Contract may not be amended in a manner that is not in compliance with the Act. No waiver or consent is effective unless in writing and signed by the party against whom such waiver or consent is sought to be enforced. Such waiver or consent will be effective only in the specific instance and for the specific purpose given.
- I. Attorney Fees and Other Expenses. To the extent permitted by the Oregon Constitution and the Oregon Tort Claims Act, the prevailing party in any dispute arising from this Contract is entitled to recover its reasonable attorney fees and costs at trial and on appeal. Reasonable attorney fees cannot exceed the rate charged to OBDD by its attorneys.
- J. Choice of Law; Designation of Forum; Federal Forum. The laws of the State of Oregon (without giving effect to its conflicts of law principles) govern all matters arising out of or relating to this Contract, including, without limitation, its validity, interpretation, construction, performance, and enforcement.

Any party bringing a legal action or proceeding against any other party arising out of or relating to this Contract shall bring the legal action or proceeding in the Circuit Court of the State of Oregon for Marion County (unless Oregon law requires that it be brought and conducted in another county). Each party hereby consents to the exclusive jurisdiction of such court, waives any objection to venue, and waives any claim that such forum is an inconvenient forum.

Notwithstanding the prior paragraph, if a claim must be brought in a federal forum, then it must be brought and adjudicated solely and exclusively within the United States District Court for the District of Oregon. This paragraph applies to a claim brought against the State of Oregon only to the extent Congress has appropriately abrogated the State of Oregon's sovereign immunity and is not consent by the State of Oregon to be sued in federal court. This paragraph is also not a waiver by the State of Oregon of any form of defense or immunity, including but not limited to sovereign immunity and immunity based on the Eleventh Amendment to the Constitution of the United States.

- K. Integration. This Contract and all exhibits, schedules or attachments constitute the entire agreement between the parties on the subject matter hereof. There are no unspecified understandings, agreements or representations, oral or written, regarding this Contract.
- L. Execution in Counterparts. This Contract may be signed in several counterparts, each of which is an original and all of which constitute one and the same instrument.

Recipient, by its signature below, acknowledges that it has read this Contract, understands it, and agrees to be bound by its terms and conditions.



STATE OF OREGON
acting by and through the
Oregon Business Development Department
775 Summer Street NE Suite 310
Salem, OR 97301-1280
Phone 541-297-3682



JOSEPHINE COUNTY

500 NW 6h Street
Grants Pass, OR 97526
Phone 541-474-5221

By: _____
Edward Tabor, Infrastructure & Program
Services Director

By: _____
Ron Smith, County Commission Chair

Date: _____

Date: _____

APPROVED AS TO LEGAL SUFFICIENCY IN ACCORDANCE WITH ORS 291.047:

/s/ David Berryman as per email dated 14 April 2026
David Berryman, Assistant Attorney General

EXHIBIT A - SPECIAL CONDITIONS OF AWARD FOR HOUSING REHABILITATION GRANT CONTRACTS

1. Reserved.
2. Recipient shall enter into a subrecipient agreement ("Subrecipient Agreement") with Home Bridging GP, Inc., an Oregon non-profit corporation ("Subrecipient") to implement the Project. Recipient further represents that Subrecipient is a non-profit housing support organization that meets the requirements of Section 105(a)(15) of the Act to carry-out housing rehabilitation activities.
3. All Project-related contracts must be received by OBDD ten (10) days prior to execution. This includes all Project-related contracts between Recipient and any person or entity that will be performing grant administration or program management services. This condition does not apply to grants with individual homeowners or to construction contracts by homeowners.
4. Reserved.
5. Recipient will assume all of the responsibilities for environmental review, decision-making and action pursuant to the National Environmental Policy Act of 1969, 42 USC 4321-4370(d), and in accordance with Section 104(g) of the Act, 42 USC 5304(g). Recipient shall provide such certification as required by the Secretary of HUD. Recipient will perform reviews in accordance with 24 CFR Part 58.1 et seq. and the other federal authorities listed at 24 CFR 58.5. Recipient shall complete a minimum of the following Environmental Review steps for Housing Rehabilitation projects. Submission of a Determination of Exemption for activities included in 24 CFR 58.34(a) and the Compliance Checklist for the "Other Requirements" in 24 CFR 58.6 (Exhibit 3C of OBDD's CDBG Grant Management Handbook) for grant administration and program management, completion of a Minor Owner Occupied Housing Rehabilitation Program Environmental Review (Exhibit 3M of the Handbook), publication of a Notice of Intent to Request a Release of Funds Owner Occupied Housing Rehabilitation Program (Exhibit 3N of the Handbook) along with an affidavit of publication from a newspaper of general circulation in the Project area, and a Request for Release of Funds and Certification (Exhibit 3H of the Handbook). No expenses to be paid with CDBG funds can be incurred prior to a Release of Funds being issued by OBDD.
6. Recipient shall provide the following prior to the submission of the first draw of grant funds:
 - A. Electronic Transfer Authorization for receiving disbursements.
 - B. Fair Housing Resolution affidavit of publication. Publication must be no more than six months prior to submission of Recipient's first disbursement request. Attach a copy of the published Fair Housing Resolution. Recipient must also undertake at least one additional activity to promote fair housing opportunities in its jurisdiction prior to final draw of Grant funds.
 - C. Documentation that Fair Housing poster(s) and brochures (including other than English if required) were distributed and posted not more than 6 months prior to the first draw for non-construction activities/funds.
 - D. Rehabilitation Act Section 504 self-evaluation checklist.
 - E. Grievance Procedure for Complaints of Alleged Discrimination Based on Disability
 - F. Nondiscrimination on the Basis of Handicap Status affidavit of publication.
 - G. Municipal official or staff person to be responsible for monitoring the housing rehabilitation project to ensure that necessary permits are obtained and required inspections

are completed prior to payment authorization. Recipient is responsible for notifying OBDD of any changes to this assignment.

H. Recipient shall identify a designated "Certifying Officer" for executing site-specific environmental reviews.

I. Reserved.

7. Recipient shall, or cause its Subrecipient or contractors to, take at least one photo of each housing rehabilitation project home prior to construction activities, and take at least one photo after final inspection. Photos will be kept in Recipient's CDBG files and released to OBDD or HUD upon request.
8. Grant administrative costs may be reimbursed for direct costs incurred for grant administration. All direct costs must be supported with source documentation.
9. Program management costs may be reimbursed for the actual costs of implementing the Project. All charges to the grant must be supported with source documentation.
10. Funds budgeted for housing rehabilitation must be contractually committed to eligible property owners 90 days prior to the Project Completion Deadline. Any rehabilitation funds not committed at that time may be subject to recapture.
11. Funds budgeted for program management or grant administration remaining upon completion of that activity may be transferred to the housing rehabilitation line item in the Project Budget. Funds not so transferred may be subject to recapture.
12. Recipient shall submit a Project Completion Report no later than the Project Completion Deadline.
13. Federal rules regarding "program income" at 24 CFR 570.489(e) shall survive and continue to apply after Project completion or closeout and after termination of this Contract.
14. Recipient shall expend on the Project, matching funds in the amount specified in the Project Budget. All matching funds must be secured in writing no later than 30 days after the execution of this Contract or this Contract may be terminated. No CDBG funds may be drawn down unless all Project matching funds are secured.
15. No costs which were incurred prior to execution of this Contract may be charged to the CDBG funds made available under this Contract. No costs of construction or for professional services which were incurred prior to execution of the applicable contract between Recipient and such contractor or service provider and OBDD's approval of such contract may be charged to CDBG funds made available under this Contract.
16. No manufactured homes built prior to 15 June 1976 can be rehabilitated with CDBG funds.

**EXHIBIT B-- RECIPIENT'S CERTIFICATION OF COMPLIANCE
WITH STATE AND FEDERAL LAWS AND REGULATIONS**

Funds for the Oregon Community Development Block Grant Program are provided through a grant to OBDD from the U.S. Department of Housing and Urban Development, under Title I of the Housing and Community Development Act of 1974, as amended, 42 USC 5301 (1994). These funds are subject to various federal statutes and regulations as well as state laws and administrative rules.

Recipient hereby represents, warrants and certifies that:

1. It has complied with all relevant federal and state statutes, regulations, executive orders, policies, guidelines and requirements with respect to the application for and acceptance and use of Oregon Community Development Block Grant funds, including but not limited to the Act.
2. It possesses legal authority to apply for and accept the terms and conditions of the Grant and to carry out the proposed Project.
3. Its governing body has duly authorized the filing of the application, including all understandings and assurances contained therein.
4. The person identified as the official representative of Recipient in the application and this Contract is duly authorized to act in connection therewith and to provide such additional information as may be required. Recipient's official representative has sufficient authority to make all certifications on its behalf.
5. This Contract does not and will not violate any provision of any applicable law, rule, regulation or order of any court, regulatory commission, board or administrative agency applicable to Recipient or any provision of Recipient's organic laws or documents.
6. This Contract has been duly executed by Recipient's highest elected official and delivered by Recipient and will constitute the legal, valid and binding obligations of Recipient, enforceable in accordance with its terms.

Recipient further represents, warrants and certifies that it is following a detailed citizen participation plan which:

1. Provides for and encourages citizen participation, with particular emphasis on participation by persons of low and moderate income who are residents of slum and blighted areas and of areas in which funds are proposed to be used;
2. Provides citizens with reasonable and timely access to local meetings, information, and records relating to Recipient's proposed use of funds, as required by applicable regulations, and relating to the actual use of funds under the Act;
3. Furnishes citizens information concerning the amount of funds available in the current fiscal year and the range of activities that may be undertaken, including the estimated amount proposed to be used for activities that will benefit persons of low and moderate income, and the proposed activities likely to result in displacement and the plans of Recipient for minimizing displacement of persons as a result of activities assisted with such funds and for relocating persons actually displaced as a result of such activities;
4. Provides for technical assistance to groups representative of persons of low and moderate income that request such assistance in developing proposals, with the level and type of assistance to be determined by Recipient;

5. Provides for a minimum of two public hearings to obtain citizen views and to respond to proposals and questions at all stages of the community development program, including at least the development of needs, the review of proposed activities, and review of program performance, which hearings shall be held after reasonable notice, at times and locations convenient to potential or actual beneficiaries, and with accommodation for the handicapped;
6. Identifies how the needs of non-English speaking residents will be met in the case of public hearings where a significant number of non-English speaking residents can be reasonably expected to participate;
7. Provides reasonable advance notice of and opportunity to comment on proposed activities in a grant application to OBDD, or as to grants already made, substantial changes to activities from Recipient's application to OBDD; and
8. Provides the address, phone number and times for submitting complaints and grievances and provides for a timely written answer to written complaints and grievances, within 15 working days where practicable.

Recipient further represents, warrants and certifies that:

1. The officer executing this certification is its chief executive officer (or other designated officer of Recipient who is qualified under the applicable HUD regulations);
2. Such certifying officer consents to assume the status of a responsible federal official under NEPA and other laws specified by the applicable HUD regulations, 24 CFR 58.1-58.77; and
3. Such certifying officer is authorized and consents on behalf of Recipient and himself/herself to accept the jurisdiction of the federal courts for the purpose of enforcement of his/her responsibility as such an official.

In addition to the above certifications, for grants exceeding \$100,000, the undersigned also makes the certification regarding lobbying set forth in Exhibit C attached to this Contract.

Signed	_____
Title	County Commission Chair
Date	_____
Recipient	Josephine County

EXHIBIT C - CERTIFICATION REGARDING LOBBYING (Grants Exceeding \$100,000)

The undersigned certifies, to the best of his or her knowledge and belief, that:

- (1) No Federal appropriated funds have been paid or will be paid, by or on behalf of the undersigned, to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with the awarding of any Federal contract, the making of any Federal grant, the making of any Federal loan, the entering into of any cooperative agreement, and the extension, continuation, renewal, amendment, or modification of any Federal contract, grant, loan or cooperative agreement.
- (2) If any funds other than Federal appropriated funds have been paid or will be paid to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with a Federal contract, grant, loan, or cooperative agreement, the undersigned shall complete and submit Standard Form-LLL, "Disclosure Form to Report Lobbying," in accordance with its instructions.
- (3) The undersigned shall require that the language of this certification be included in the award documents for all subawards at all tiers (including subcontracts, subgrants, and contracts under grants, loans, and cooperative agreements) and that all subrecipients shall certify and disclose accordingly.

This certification is a material representation of fact upon which reliance was placed when this transaction was made or entered into. Submission of this certification is a prerequisite for making or entering into this transaction imposed by section 1352, title 31, U.S. Code. Any person who fails to file the required certification shall be subject to a civil penalty of not less than \$10,000 and not more than \$100,000 for each such failure.

Signed

Title

County Commission Chair

Date

Recipient

Josephine County

EXHIBIT D - PROJECT BUDGET

	OBDD Funds	Other / Matching Funds
Activity	Approved Budget	Approved Budget
Housing Rehabilitation	\$415,000	\$0
Grant Administration	\$10,000	\$0
Program Management	\$75,000	\$0
Total	\$500,000	\$0

EXHIBIT E - INFORMATION REQUIRED BY 2 CFR § 200.332(b)(1)

Federal Award Identification:

- (i) Subrecipient* name (which must match registered name in SAM): Josephine County
- (ii) Subrecipient's Unique Entity Identifier (SAM): MCM8TATKED46
- (iii) Federal Award Identification Number (FAIN): B-25-DC-41-0001
- (iv) Federal Award Date: 26 January 2026
- (v) Sub-award Period of Performance Start and End Dates: beginning at Contract execution and ending on the last day of the month occurring 24 months after the date of this Contract.
- (vi) Sub-award Budget Period Start and End Dates: beginning at Contract execution and ending on the last day of the month occurring 24 months after the date of this Contract.
- (vii) Total Amount of Federal Funds Obligated by this action by the pass-through entity to the subrecipient: \$500,000
- (viii) Total Amount** of Federal Funds Obligated to the subrecipient by the pass-through entity including the current financial obligation: \$500,000
- (ix) Total Amount** of the Federal Award committed to the subrecipient by the pass-through entity: \$500,000
- (x) Federal award project description as required to be responsive to the Federal Funding Accountability and Transparency Act (FFATA): The FFY 2025 State Community Development Block Grant Program funds will be awarded through a competitive application process to rural communities in Oregon for the following project types: Public Works Projects, Community Facilities, Owner-occupied Housing Rehabilitation and Microenterprise Assistance. CDBG projects will meet the national objective of benefitting low- and moderate-income persons or an urgent need
- (xi) Name of Federal awarding agency, pass-through entity, and contact information for awarding official of the Pass-through entity:
 - (a) Name of Federal awarding agency: U.S. Department of Housing and Urban Development
 - (b) Name of pass-through entity: Oregon Business Development Department
 - (c) Contact information for awarding official of the pass-through entity: Edward Tabor, Infrastructure and Program Services Director, 503-949-3523

(xii) The Federal Assistance Listing (formerly CFDA) Number and Title: 14.228 Community Development Block Grant,
Amount: \$500,000

(xiii) Is Award R&D? No

(xiv) Indirect cost rate for the Federal award: 15%

* For the purposes of this Exhibit E, "Subrecipient" refers to Recipient and "pass-through entity" refers to OBDD.

** The total amount of federal funds obligated or committed to the Subrecipient by the pass-through entity is the total amount of federal funds obligated or committed to the Subrecipient by the pass-through entity during the current state fiscal year, which runs from July 1 through June 30.

JOSEPHINE COUNTY
2025 HOUSING REPAIR AND REHABILITATION PROGRAM
SUBRECIPIENT AGREEMENT

This Subgrant Agreement (this Agreement) is entered into between Josephine County (the County) and Home Bridging GP Inc (HBGP).

RECITALS

- A. Josephine County has received the following awards from the State of Oregon ("State"):
1. Community Development Block Grant (CDBG) Contract, project number H25012, between the State of Oregon, acting by and through its Oregon infrastructure Finance Authority of the Oregon Business Development Department (OBDD) and Josephine County ("Grant Contract"). The Grant Contract, with all its exhibits, is attached as Exhibit A and is incorporated herein. The purpose of this grant is to provide housing rehabilitation grants to low- and moderate-income homeowners that own and occupy their single-family residence. Josephine County desires to grant these funds to Home Bridging GP Inc (HBGP) to carry out these activities.
- B. The Grant Contract is subject to Title I of the Housing and Community Development Act of 1974, 42 U.S.C. §§5301-5321 ("The Act", 24 CFR §570 Subpart I (570.480-.497) ("The Regulations"), ORS Chapter 285a, and OAR 123-080-0000 et seq., the current Method of Distribution ("the MOD", and Grant Management Handbook ("the GMH").
1. The Act and Regulations require that all activities carried out with the grant funds be "eligible activities" as defined in Section 105(a) of the Act (42 USC §5305(a)), the current MOD and the GMH.
- C. HBGP is a qualified nonprofit organization through which the CDBG funds can be disbursed under the authority of 105(a)(15) of the Act.
1. The organization is a tax-exempt organization under Section 501(c)(3) or 501(c)(4) of the Internal Revenue code of 1986;
 2. The organization has as one of its primary purposes (as outlined in its bylaws, articles of incorporation or charter) to provide affordable housing that is decent, safe and sanitary for low- and moderate-income Oregonians, in the non-entitlement areas of the state;
 3. The organization serves the development needs of the communities in the non-entitlement areas of the state and is carrying out a neighborhood revitalization, community economic development, or energy conservation project in accordance with 105(a)(15) of the Act; and
 4. The organization has reasonable accommodation policies.
- D. Josephine County desires to engage HBGP to:

1. Administer and manage the disbursement of funds to the individual housing rehabilitation projects.
2. Carry out the day-to-day operation of the Josephine County Home Repair Program (the Program)
3. Perform requirements necessary for environmental assessment, State monitoring visits, citizen participation, and program advertising.

THEREFORE, the parties agree as follows:

I. Eligible Activities. Eligible Activities are those set out in §105(a) of the Act (see Recital B), the MOD, and Exhibit A of the Grant Contract. In all cases, the activities will benefit low- and moderate-income persons.

II. Responsibilities of Josephine County

- A. Josephine County is responsible for all the federal CDBG compliance requirements assigned to the subgrantee. These requirements remain the obligation of Josephine County until closeout of the Grant Contract with the state (refer to the MOD and GMH).
- B. Josephine County shall have final approval authority regarding which projects are selected, subject to CDBG requirements.
- C. **Grant Contract Responsibilities:** With regard to the Grant Contract, Josephine County shall be responsible for:
 1. All final grant decisions.
 2. Final accountability for all CDBG funds.
 3. **Monitor and oversee HBGP.** With regard to activities carried out by HBGP under the Grant Contract, Josephine County shall:
 - a. Provide monitoring and oversight as required by the Act, the Regulations, the current MOD and GMH, and the Grant Contract;
 - b. Ensure that HBGP complies with the Act and Regulations, the current MOD and GMH and the terms of this Agreement;
 - c. To the extent allowed under Section VII of this Agreement (Suspension and Termination), recover on behalf of the state any liabilities that may arise as the result of the breach of the Grant Contract by HBGP;
 - d. Meet with HBGP at least monthly to monitor program requirements and ensure that all program activities comply with the Acts and Regulations. Participants will review applications and other program documentation to ensure that program requirements are being met in a timely manner;
 - e. Identify County personnel to work with HBGP on a daily basis to ensure that all program requirements are being met in a timely manner;

- f. Review and ensure all reports, cash requests, and other submission to IFA from HBGP are complete and accurate before submission to IFA;
 - g. Ensure that IFA is provided all required reports in a timely fashion and/or submitted on time, if there is a specified deadline; such as the annual outcome and performance measure report due September 1 of each year; annual Section 3 reports; the final Section 3 report; and the MBE/WBE report at project completion;
 - h. Ensure that HBGP is compliant with IFA approved grant policies for HBGP (Exhibit F), and the terms and conditions of this Agreement;
 - i. Other miscellaneous items such as, but not limited to, the return of the executed Grant Contract to IFA, conduct a second public hearing and submit the affidavit of publication and final hearing minutes to IFA, and complete the project completion report to IFA etc., in accordance with the current GMH.
4. **Comply with Fair Housing Requirements.** Josephine County shall:
- a. Provide to the State a copy of an adopted Fair Housing resolution, with evidence (affidavit of publication) that such resolution has been published and documentation that Josephine County distributed fair housing posters and brochures within six (6) months of the initial drawdown of funds under the Grant Contract; and
 - b. Undertake at least one (1) other fair housing activity within the community during the period of the Grant Contract from the list of activities identified in the current GMH. Documentation that this was completed must be submitted to IFA prior to the final draw for funds from IFA.
5. **§504 Self Evaluation Checklist.** Josephine County shall provide to the State a copy of the self-evaluation checklist required by §504 of the Rehabilitation Act, and if applicable a nondiscrimination policy and grievance procedures.
- a. The §504 Self-evaluation checklist can be no more than five (5) years old by the time the first draw for funds is received by IFA.
 - b. Josephine County shall provide to the State evidence that the notice of nondiscrimination was published (affidavit of publication) and provide a copy of the nondiscrimination policy and a copy of the grievance procedures to IFA.
6. **Excessive Force Policy.** Josephine County shall provide to the State a copy of the excessive force policy adopted by the County, with the submission of the signed Grant Contract to IFA.
7. **Environmental**
- a. **Exemption.** Josephine County shall provide to the State a copy of the environmental exemption for grant administration/program management and other non-construction activities prior to entering into this Agreement.

- b. **Housing Rehabilitation Program Tiered Review.** Josephine County shall ensure that site specific environmental reviews are completed for each project.
- 8. **Section 3 Requirements.** Josephine County shall prepare and adopt an IFA reviewed Section 3 plan, and submit the adopted plan to IFA prior to the first draw for non-construction funds; and.
 - a. By no later than January 31 of each year Josephine County shall submit the required annual Section 3 report to IFA, if required; and
 - b. Ensure that the Section 3 requirements contained in Josephine County's plan are passed down to HBGP within this Agreement.
- 9. **Limited English Proficiency Language Access Plan (LAP).** Josephine County shall:
 - a. Prepare and adopt an IFA reviewed LAP, and provide a copy of the adopted plan to IFA prior to the final draw for non-construction funds; and,
 - b. Ensure HBGP prepares and adopts an IFA reviewed LAP, and provides a copy of the adopted plan to IFA prior to the first draw for non-construction funds; and,
 - c. Ensures HBGP complies with both Josephine County's and HBGP's own LAPs.
- 10. **Opportunities for Minority, Women and Emerging Small Business (MBE/WBE).** Josephine County shall:
 - a. Ensure that HBGP completes and documents compliance with the minimum acceptable outreach efforts/standards to MBE/WBE; and,
 - b. Encourage HBGP to use the guidelines contained in the GMH in implementing outreach programs to ensure the inclusion to the maximum extent feasible, of entities owned by minorities and women; and,
 - c. Submit the MBE/WBE activity report to IFA prior to the submission of the final draw for funds to IFA.
- 11. **IFA Documents Review Prior to Dissemination and System Award Management (SAM).** Josephine County shall:
 - a. Ensure that HBGP marketing materials are pre-approved by IFA prior to dissemination; and
 - b. Ensure that this Agreement and any professional services agreements between HBGP and a professional services provider are pre-approved by IFA prior to execution; and,
 - c. Ensure that the required SAM check is completed prior to execution of this Agreement and any professional services agreements between HBGP and a professional services provider.

12. **Timeliness.** Josephine County shall ensure HBGP complies with the requirements contained in Section IV, "Time of Performance", of this Agreement.
13. **Financial Management – Source Documentation and Invoicing.** Josephine County shall ensure indirect costs are not billed to the CBDG program and:
- a. Ensure that all invoicing received for grant administration, program management and environmental assessment preparation from HBGP is based upon either 1) a percentage of the total fees for the specific activity, available under this Agreement as the established benchmarks are met by HBGP; or, 2) a flat hourly rate; and,
 - b. Ensure all housing rehabilitation costs for each homeowner are documented by invoices and receipts for all costs incurred; and,
 - c. All invoices attached to the cash disbursements sent to IFA must conform to the requirements in the current GMH.
14. **Insurance.** Josephine County shall maintain at all times comprehensive liability insurance and property damage insurance covering its activities and operations under this Agreement.
15. **Notices.** Josephine County shall provide HBGP with a copy of all notices received by the County from the State related to the Grant Contract.
16. **Other Responsibilities.** Josephine County shall fulfill any other responsibilities it has undertaken in this Agreement and in the Grant Contract.

III. Responsibilities of Subgrantee (HBGP)

A. Generally

1. HBGP shall meet these minimum requirements:
 - a. Be the owner of all program policies, processes, and procedures;
 - b. Be responsible for compliance with all CBDG requirements;
 - c. Carry out the program with its own staff or will contract for professional staff, as approved by IFA;
 - d. Comply with all grant contract requirements, and the current MOD and GMH.
2. HBGP shall meet with Josephine County at least monthly to ensure that all requirements in this Agreement, the Grant Contract, the MOD, and the current GMH are being followed for the program. Participants will review applications and other program documentation to ensure that program requirements are being met in a timely manner.
3. HBGP shall ensure that "before" photos are taken of all potential projects to be evaluated, and that "after" photos are taken of all projects completed using CBDG funds.

4. HBGP shall work closely with Josephine County personnel who shall be appointed to ensure compliance with program requirements on a day-to-day basis.
5. HBGP shall repay to Josephine County any portion of funds received under this Agreement, should IFA require repayment as a result of noncompliance with the Grant Contract.
6. Insurance. HBGP shall obtain, at its own expense, and maintain at all times comprehensive liability insurance and property damage insurance covering its activities and operations under this Agreement. Liability insurance shall have a minimum coverage of \$1,000,000 per occurrence, and \$2,000,000 aggregate.

B. Grant Contract Responsibilities. HBGP shall assist Josephine County, or its designee, with administration of the Grant Contract, in accordance with the Act and the Regulations. With the approval of Josephine County, HBGP may subcontract such grant administration to a third party, only if pre-approved by IFA. Grant administration duties include, but are not limited to:

1. Prepare grant budgets, schedules, and amendments;
2. Draft requests for proposals and agreements with consultants for grant administration or other consulting work (if required);
3. Set up systems to ensure compliance with state and federal program requirements;
4. Assist Josephine County in meeting first and last draw requirements, annual report submissions. And other requirements contained in the GMH;
5. Monitoring project progress against the grant contract scope of work and budget and reporting to elected officials;
6. Prepare disbursements/cash requests, reports, and other documents for submission to the IFA;
7. Participate in IFA monitoring visits and respond to monitoring findings and concerns;
8. Prepare a project completion report, assisting an auditor with required grant information;
9. Preparation of the environmental assessment or other environmental documents and publish required notices; and,
10. All items defined in roles of participants in HBGP policies.

C. Staffing

1. HBGP shall assign or contract with such staff as is appropriate to carry out its responsibilities in a timely and professional manner.

2. Upon request from Josephine County, HBGP shall provide the names and responsibilities of key staff assigned to this Agreement and shall notify Josephine County in the event of changes in key staff assigned to this Agreement.

IV. Time of Performance

- A. Services of HBGP related to the Grant Contract shall start on the Effective Date of this Agreement and end 24 months after the execution of the Grant Contract, unless otherwise extended by the State.
- B. All funds must be contractually committed at least ninety (90) days prior to the end of this Agreement. Any funds not so committed shall not be reimbursed.
- C. HBGP will perform the described tasks and be reimbursed for expenditures in accordance with the Policies and Procedures no later than 24 months after the execution of the Grant Contract.
- D. The term of this Agreement shall be extended automatically to coincide with any extensions to the Grant Contract granted by the State.

V. Compensation

A. Grant Contract Services.

1. Josephine County shall compensate HBGP for services for HBGP in accordance with the Grant Contract. Subject to Josephine County receiving such funds from the State, the total amount to be paid by Josephine County to HBGP for Grant Contract Services shall not exceed \$480,000, including:
 - a. \$405,000 is the maximum for Housing Rehabilitation;
 - b. \$75,000 is the maximum for Program Management.

Drawdowns for the payment of eligible expenses shall be made against the line item budgets specified in the Grant Contract.

2. Upon request of Josephine County, HBGP shall provide such supplementary budget information as is reasonable, in a timely fashion and in the form and content prescribed by Josephine County.
3. Any amendments to the budget must be approved in writing by Josephine County, HBGP, and the state prior to amending this Agreement.

B. Program Management.

1. Josephine County will pay Program Management fees to HBGP with an initial payment of \$20,000 upon execution of this contract. Thereafter, fees will be paid at a rate of 11% ~~15.67%~~ of housing rehabilitation funds expended, up to the maximum Program Management budget described above.
2. Requests for Program Management fees shall be submitted via invoice as along with the request for reimbursement of housing rehabilitation funds upon the completion of each project.

3. Prior to the first cash request, HBGP will assist Josephine County in preparing IFA's first cash request requirements,
4. HBGP shall submit progress reports to Josephine County in the form, content and frequency as required by Josephine County.
5. HBGP shall submit cash draws to Josephine County in a timely fashion in order to comply with Invoice Terms to cover the cost of payments to contractors for the projects and will be reimbursed by Josephine County after each Benchmark.

VI. Notices

- A. Notices required by this Agreement shall be in writing and mailed by first class mail. Until otherwise notified in writing, notices shall be directed to the following representatives:

1. **Josephine County:**

Heléne Lulich, Property Manager
500 NW 6th St, Dept. 4,
Grants Pass, OR 97526

2. **HBGP:**

Chad Hansen, President
1630 #3 Williams Highway
Grants Pass, OR 97527

VII. Suspension or Termination

- A. **Voluntary Termination.** The parties may jointly agree to terminate this Agreement, upon such terms and conditions as they mutually agree to. If this Agreement is terminated before the Grant Contract is administratively closed, HBGP shall be compensated for services rendered and expenses incurred.
- B. **Involuntary Termination.**
 1. **Written Notice and Opportunity to Cure.** If either party substantially fails to comply with any material term of this Agreement, or with any of the rules, regulations or provisions referred to herein, the other party shall give written notice of such noncompliance to the party allegedly in default. The notice shall state the specific manner in which the party has failed to comply with this Agreement or rules and shall give that party no less than 30 days, or such longer time as may be reasonably necessary under the circumstances, in which to remedy such breach. If such noncompliance is not corrected within the time provided, the party not in default may suspend or terminate this Agreement, in whole or in part.
 2. **Suspension of Payments.** If there is evidence of fraud or misappropriation of funds, and if Josephine County has provided the written notice required by

subparagraph 1, Josephine County may withhold any further compensation to HBGP, until such time as HBGP is in compliance with this Agreement.

3. In the event of termination, either party may pursue any remedy allowed in law or equity. HBGP shall be compensated for any services satisfactorily performed.

VIII. General Conditions

- A. **General Compliance.** Both parties agree to comply with the current MOD and GMH and the applicable requirements of Title 24 of the Code of Federal Regulations, Part 570, to comply with all other applicable Federal, state and local laws, regulations, and policies governing the funds provided under this Agreement, and to utilize funds available under this Agreement to supplement rather than supplant funds otherwise available.
- B. **Conflict of Interest.** No employee, agent, consultant, officer, or elected or appointed official of Josephine County or HBGP receiving CDBG funds who exercises or has exercised any functions or responsibilities with respect to CDBG activities assisted who is in a position to participate in a decision-making process or gain inside information with regard to such activities, may obtain a financial interest or benefit from the activity, or have an interest or benefit from the activity, or have any interest or benefit, direct or indirect, in any contract, subcontract, or agreement with respect thereto, or the proceeds thereunder, for themselves or those with whom they have family or business ties, as defined in the program policies, during his/her tenure or for one year thereafter, in accordance with 24 CFR Part 570.489(h).
- C. **Independent Contractor**
 1. Nothing in this Agreement is intended to, or shall be construed in any manner, as creating or establishing the relationship of employer/employee between the parties. HBGP shall be responsible exclusively for payment of all Unemployment Compensation, FICA, retirement, life and/or medical insurance, and Worker's Compensation Insurance for its officers, agents and employees.
 2. HBGP and Josephine County agree that there is no relationship under this agreement except as specified herein. Josephine County exercises no control over, is not responsible for the acts of, and assumes no specific responsibilities to or for officers, employees or agents or the public in general, except as specified in this Agreement. HBGP shall not claim any relationship with Josephine County as agent, representative or employee which is not expressly set forth in this Agreement.
- D. **Third Party Beneficiaries.** Except for the State of Oregon, nothing in this Agreement, expressed or implied, is intended to confer upon any person, other than the parties to this Agreement, any right or remedy of any nature whatsoever.
- E. **Indemnification and Hold Harmless.** Each party shall hold harmless, defend and indemnify the other party from any and all claims, actions, suits, charges, and

judgments whatsoever that arise out of the party's performance or nonperformance of the services or subject matter called for in this Agreement.

- F. **Workers' Compensation.** HBGP shall provide Workers' Compensation insurance covering for all of its employees involved in the performance of this Agreement before work under the Agreement commences. HBGP shall ensure that any of its contractors and/or subcontractors do likewise
- G. **Recognition of Fund Sources.** HBGP shall ensure recognition of the role of Josephine County and the federal and State of Oregon Community Development Block funding in providing services through the Agreement. All activities, facilities, and items utilized pursuant to this Agreement shall be prominently labeled as to funding source. In addition, HBGP will include a reference to the support provided herein in all publications made possible with funds made available under this Agreement.
- H. **Copyright.** If this contract results in any copyrightable material, HBGP shall have the right to copyright such material, subject to a right on the part of Josephine County to a royalty-free, non-exclusive and irrevocable license to reproduce, publish or otherwise use and to authorize others to use, the work or materials for government purposes.
- I. **Assignment.** Either party may assign this Agreement, but only with the written consent of the other party, which consent shall not be unreasonably withheld.
- J. **Amendments**
 - 1. Josephine County and HBGP may amend this Agreement at any time provided that such amendments make specific reference to this Agreement, and are executed in writing, signed by a duly authorized representative of both organizations, and pre-approved, by Josephine County's governing body and IFA before execution.
 - 2. Josephine County may, in its discretion, amend this Agreement to conform with Federal, state or local governmental guidelines, policies, and available funding amounts, or for other reasons. Josephine County shall notify HBGP in writing of any such amendment. If such amendments result in a change in the funding, the scope of services, or schedule of the activities to be undertaken as part of this Agreement, such modifications must be by written amendment, and pre-approved by Josephine County, HBGP, and IFA before execution.
 - 3. Changes to the project goals, scope of services, schedule, or budget related to the Grant Contract may be made only through a written amendment to this Agreement, signed by HBGP and Josephine County. The State shall have a minimum of ten (10) days to review proposed amendments prior to signing by the parties.
- K. **Attorney Fees.** In the event there is any court action related to this Agreement, the prevailing party shall be entitled to attorney fees and court costs, at trial and on appeal.

- L. **Severability.** If any provision of this Agreement is held invalid, the remainder of the Agreement shall not be affected thereby and all other parts of this Agreement shall nevertheless be in full force and effect.

IX. Administrative Requirements

A. Financial Management

1. **Accounting Standards.** To the extent applicable, Josephine County agrees to comply with OMB Circular A-110 in all accounting principles and procedures required, utilize adequate internal controls, and maintain necessary source documentation for all costs incurred.
2. **Cost Principles.** To the extent applicable, HBGP shall administer its program in conformance with the policies, guidelines and requirements of OMB Circulars A-122, 'Cost Principles for Non-Profit Organizations', or A-21, 'Cost Principles for Educational Institutions,' as applicable. These principles shall be applied to all costs incurred whether charged on a direct or indirect basis.
3. All invoices must conform with the requirements contained in the GMH under "Required Source Documentation" and no indirect costs are allowed.

B. Documentation and Record-Keeping

1. Records to be Maintained

- a. HBGP shall maintain all records required by the State pursuant to 24 CFR 570.490 that are pertinent to the activities funded under this Agreement. Records related to the Grant Contract, including supporting documentation, shall be retained for the greater of three (3) years from closeout of the grant between IFA and HUD or the period required by other applicable laws and regulations including the current GMH and the MOD. Environmental review records are to be maintained for four (4) years as defined in the current GMH.
 - b. HBGP shall maintain any other records pertinent to this Agreement in such a manner as to clearly document HBGP's performance.
 - c. For fair housing and equal opportunity purposes, HBGP's records shall include data on the racial, ethnic and gender characteristics of persons who are applicants for, participants in, or beneficiaries of the program.
2. **Retention.** HBGP shall retain and keep accessible all such books, accounts, records, reports, files, and other papers, or property for a minimum of six (6) years, as applicable from closeout of the grant hereunder, or such longer period as may be required by applicable law, or until the conclusion of any audit, controversy or litigation arising out of or related to this Agreement, whichever date is later. This is to include the three (3) years from the final audit, acceptance, and grant closeout by HUD.
 3. **Close-Outs.** HBGP's Grant Contract obligations to Josephine County shall not end until the State determines that the project can be administratively closed.

4. Audits and Inspections.

- a. Audits shall be conducted annually in accordance with the Single Audit Act of 1984, 312 U.S.C. §§7501-7507 (1994) *as amended by* Pub. L. 104-156, §§1-3, 110 Stat. 1397 (1996) and the regulations promulgated pursuant thereto, 24 C.F.R. §§44.1-44.18 (1997), and the Office of Management and Budget (OMB) Circular A-133, 24 C.F.R. §§45.1-45.5 (1997).
 - b. Josephine County, the State, and the federal government (including but not limited to the U.S. Department of Housing and Urban Development, the Inspector General, and the General Accounting Office) and their duly authorized representatives shall have access to all of HBGP's books, accounts, records, reports, files, and other papers, or property pertaining to the administration, receipt and use of CDBG funds and necessary to facilitate such reviews and audits in order to perform examinations and audits and make excerpts and transcripts.
 - c. HBGP shall provide citizens with reasonable access to records regarding the use of CDBG funds consistent with State and local requirements concerning the privacy of personal records.
5. **Procurement.** To the extent applicable, HBGP shall procure all materials, property or services in accordance with state law and the Uniform Administrative requirements of OMB Circular A-110 (implemented at 24 C.F.R. part 84, "Uniform Administrative Requirements for Grants and Agreements with Institutions of Higher Education, Hospitals, and Other Non-Profit Organizations" or the related CDBG provision.

X. Other Conditions Related to the Grant Contract

- A. **Lobbying.** HBGP shall sign Exhibit C, the 'Certification Regarding Lobbying.'
- B. **Nondiscrimination.** HBGP will not discriminate against any employee or applicant for employment because of race, color, creed, religion, ancestry, national origin, sex, disability or other handicap, age, marital/familial status, or status with regard to public assistance. HBGP will take affirmative action to insure that all employment practices are free from such discrimination. Such employment practices include, but are not limited to, the following: hiring, upgrading, demotion, transfer, recruitment or recruitment advertising, layoff, termination, rates of pay or other forms of compensation, and selection for training, including apprenticeship. HBGP agrees to post in conspicuous places, available to employees and applicants for employment, notices to be provided by the contracting agency setting forth the provisions of this nondiscrimination clause.
- C. **HBGP and Contractor/Subcontractor Covenants – Compliance with Laws.** To the extent applicable, HBGP agrees to comply, and cause its agents and contractors to comply, with all applicable state and federal laws, regulations, policies, guidelines and requirements with respect to the use of and the administration, distribution and

expenditure of the funds provided in the MOD and the current GMH, including but not limited to the following:

1. The Housing and Community Development Act of 1974, as amended, and with all related applicable laws, rules, and regulations, including but not limited to Sections 104(d), 109 and 110 of the Act, 42 U.S.C. §5304 (1994), and the regulations promulgated pursuant thereto, and 12 U.S.C. §1735b (1994).
2. Section 3 of the Housing and Urban Development Act of 1968, as amended (12 U.S.C. 1701u)(Section 3) requires Josephine County to enforce the section 3 requirements in all construction contracts, or any non-construction activity that leads to construction, such as engineering, architectural, program management work, etc., of \$100,000 or more, to ensure that employment and other economic and business opportunities generated by the Department of Housing and Urban Development (HUD) financial assistance, to the greatest extent feasible, are directed to public housing residents and other low-income persons, particularly recipients of government housing assistance, and business concerns that provide economic opportunities to low- and very-low income persons. Josephine County shall ensure compliance with its Section 3 policy (attached as Exhibit D).
 - a. Josephine County shall submit:
 - i. An annual HUD 60002 form by no later than January 31 of each year to IFA. The reporting period is January 1 – December 31 of each year;
 - ii. A final HUD 60002 form at the completion of the property covering any information that was not previously reported on the most recent annual submission; and
 - iii. A Section 3 Plan prior to the first draw of non-construction funds.
3. Minority Women and Emerging Small Business Activity Reporting (Exhibit E of this Agreement) must be completed and submitted prior to the last draw for all contracts, subcontracts, loans and grants in excess of \$10,000. In addition, HBGP must provide to Josephine County documentation demonstrating that:
 - a. HBGP met the minimum acceptable outreach efforts/standards to MBE/WBE; and any
 - b. Efforts HBGP conducted to encourage outreach programs to ensure that inclusion to the maximum extent feasible, of entities owned by minorities and women.
4. Limited English Proficiency Language Access Plan (LAP). Josephine County shall:
 - a. Prepare and adopt an IFA reviewed LAP, and provide a copy of the adopted plan to IFA prior to the first draw for non-construction funds; and
 - b. Ensure HBGP prepares and adopts an IFA reviewed LAP, and provides a copy of the adopted plan to IFA prior to the first draw for non-construction funds; and

- c. Ensure HBGP complies with both Josephine County and HBGP's own LAPs.
5. Title VI of the Civil Rights Act of 1964, 42 U.S.C. 2000d (1994), and the regulations promulgated thereto, 24 C.F.R §§1.1-1.10 (1997). HBGP will immediately take any measures necessary to effectuate this assurance. If any real property or structure thereon is provided or improved with the aid of federal financial assistance extended to HBGP, this assurance shall obligate HBGP, or in the case of any transfer of such property, any transferee, for the period during which the real property or structure is used for a purpose for which the federal financial assistance is extended, or for another purpose involving the provision of similar services or benefits.
 6. Title VIII of the Civil Rights Act of 1968, as amended, popularly known as the Fair Housing Act, 42 U.S.C. §§3601-3631 (1994), *as amended by* Pub. L. 104-76, §§1-3, 109 Stat. 787 (1995); Pub. L. 104-66, Title I, §1071(e), 109 Stat. 720 (1995); Pub. L. 90-284, Title VIII, §8814A, as added Pub. L. 104-208, Div. A, Title 11, §2302(b)(1), 110 Stat. 3009-3421 (1996); Pub. L. 104-294, title VI, §604(b)(15), (27), 110 Stat. 3507, 3508 (1996).
 7. Exec. Order No. 11,063, 46 F.R. 1253 (1962), *reprinted as amended in* 42 U.S.C. §1982 (1994) and the regulations promulgated pursuant thereto, 24 C.F.R. §§107.10-107.65 (1997).
 8. Exec. Order No. 11,246, 30 F.R. 12319 (1965), *as amended by* Exec. Order No. 11,375, 32 F.R. 14303 (1967), *reprinted in* 42 U.S.C. §2000e (1994), and the regulations promulgated pursuant thereto, 41 C.F.R. §§60-1.1 to 60-999.1 (1997).
 9. The Age Discrimination Act of 1975, 42. U.S.C. §§6101-6107 (1994).
 10. Section 504 of the Rehabilitation Act of 1973, 29 U.S.C. 794 (1994).
 11. Section 302 of the Lead-Based Paint Poisoning Prevention Act, 42 U.S.C. §4822 (1994), and the regulations promulgated pursuant thereto, 24 C.F.R. §35.1-35.98 (1997).
 12. The Architectural Barriers Act of 1968, 42 U.S.C. §§4151-4157 (1994).
 13. **Religious Organization.** HBGP agrees that funds provided under this contract will not be utilized for religious activities, to promote religious interests, or for the benefit of a religious organization in accordance with the Federal regulation specified in 24 C.F.R. 570.2000.

14. Environmental Conditions

- a. **Air and Water.** HBGP agrees to comply with the following requirements, insofar as they apply to the performance of this Agreement:
 - i. Clean Air Act, 42 U.S.C. §7401, et seq.
 - ii. Federal Water Pollution Control Act, as amended, 33 U.S.C. §1251, et seq., as amended, 1318 relating to inspection, monitoring, entry,

reports, and information, as well as other requirements specified in said Section 114 and Section 308, and all regulations and guidelines issued thereunder.

iii. Environmental Protection Agency (EPA) regulations pursuant to 40 C.F.R., Part 50, as amended.

b. **Flood Disaster Protection.** In accordance with the requirements of the Flood Disaster Protection Act of 1973 (42 U.S.C. 4001), HBGP shall ensure that for all activities located in an area identified by FEMA as having special flood hazards, flood insurance under the National Flood Insurance Program is obtained and maintained as a condition of financial assistance for acquisition or construction purposes (including rehabilitation).

c. **Historic Preservation.** HBGP agrees to comply with the Historic Preservation requirements set forth in the National Historic Preservation Act of 1966, as amended (16 U.S.C. §470) and the procedures set forth in 36 C.F.R., Part 800, Advisory Council on Historic Preservation Procedures for Protection of Historic Properties, insofar as they apply to the performance of this contract. In general, this requires concurrence from the State Historic Preservation Officer for all rehabilitation and demolition of historic properties that are fifty (50) years old or older or that are included on a Federal, state, or local historic property list.

15. ORS §§294.305-294.565 (1997) and other applicable state laws for County and municipal administration.

16. Special program and grant administration requirements imposed by the State related to the acceptance and use of funds provided under the Grant Contract or Closeout Agreement (which requirements have been approved in accordance with the procedures set forth in the current Grant Management Handbook).

XI. **Effective Date.** The effective date of this Agreement is the date on which this Agreement is fully signed and approved.

JOSEPHINE COUNTY

Ron Smith, Chair

Colene Martin, Vice Chair

Gary Richardson, Commissioner
Date: _____

HOME BRIDGING GP Inc

BY: _____
Chad Hansen, President
Date: _____

ITEM 3c

BEFORE THE BOARD OF COUNTY COMMISSIONERS FOR JOSEPHINE COUNTY STATE OF OREGON

In the Matter of Referring to Josephine	)	
County Voters at the November 3, 2026	)	Resolution No. 2026-031
Election a Measure for Renewal of	)	
Adult Jail and Juvenile Detention	)	
Five Year Local Option Tax	)	

The JOSEPHINE COUNTY BOARD OF COMMISSIONERS hereby resolves:

1. The measure in the ballot title, attached hereto as Exhibit A, shall be referred to the electors of the County for their "yes" or "no" vote.
2. The ballot title and explanatory statement, attached hereto and marked as Exhibits A and B, are approved for submission to the Josephine County Elections Officer, "County Clerk," for the November 3, 2026, Election.
3. The Josephine County Legal Counsel will certify form SEL 801, the Notice of County Measure Election, as required by law.
4. Following certification, the Josephine County Legal Counsel shall cause to be delivered to the County Clerk this resolution, ballot title, form SEL 801, and explanatory statement for the voter's pamphlet, for further action as required by law for placement on the November 3, 2026, election ballot.
5. The County Clerk shall give notice of receipt of the ballot title and notice of electors' right to petition for review of the ballot title as provided by law.

DONE AND DATED this _____ day of August, 2026.

JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

Ron Smith, Chair

Colene Martin, Vice-Chair

Gary Richardson, Commissioner

EXHIBIT A

BALLOT MEASURE ____

CAPTION:

Adult Jail and Juvenile Detention Five Year Local Option Tax

QUESTION:

Shall Josephine County levy \$0.93 per \$1,000 assessed value for Adult Jail and Juvenile Department for Five years beginning 2027-2028?

This measure may cause property taxes to increase more than three percent.

BALLOT SUMMARY:

The revenue from this measure would go into a dedicated fund. By law, the fund would be used only for Adult Jail and Juvenile Department services.

The revenue from this measure would provide Adult Jail and Juvenile Department services as follows:

- Maintain the current inmate capacity at the adult jail to allow intake of all persons arrested in Josephine County;
- Partially fund Juvenile Department services to lodge of all youth who are taken into the custody of Josephine County;
- Cover related internal support services including Finance, Human Resources, Legal Counsel, and Information Technology.

At \$0.93 per \$1,000, for every \$100,000 of a property's assessed value, the tax would cost \$7.75 per month or \$93.00 per year. The approximate tax increase for a home with an assessed value of \$239,908 would be \$18.59 per month or \$223.11 per year. The proposed rate will raise approximately \$ 10,522,800 in 2027-2028; \$ 10,950,900 in 2028-2029; \$ 11,396,300 in 2029-2030; \$ 11,859,900 in 2030-2031; and \$ 12,342,300 in 2031-2032.

The estimated tax cost for this measure is an ESTIMATE ONLY based on the best information available from the county assessor at the time of estimate and may reflect the impact of early payment discounts, compression and the collection rate.

EXHIBIT B

EXPLANATORY STATEMENT FOR VOTERS' PAMPHLET

Ballot Title Caption Renew Adult Jail, Juvenile Detention Five Year Local Option Tax

Measure No. _____ **Word Total (500 max)** 351

This measure would affect only Adult Jail services, Juvenile Detention services and related administrative expenses. Adults are persons aged 18 years and over, and juveniles (youths) are ages 12 to 17. The revenue from this measure would go into a dedicated fund. By law, the fund could be used only for Adult Jail services and Juvenile Detention services, and related administrative expenses which include Finance, Human Resources, Legal Counsel, and Information Technology. No revenue from this measure would fund the office or salaries of the Board of County Commissioners.

Present Funding to June 30, 2027

A levy is currently funding the Adult Jail and the Juvenile Detention Center through June 30, 2027. The Adult Jail can currently lodge 185 inmates. The Juvenile Detention Center can currently lodge 14 youths. After June 30, 2027, a decline in projected revenue would drop the Adult Jail population to 80-90 inmates, and the Juvenile Detention Center would close.

Measure Funding

The proceeds from this five-year measure would allow the Adult Jail to retain the capacity to lodge 185 inmates. This would allow for the intake of all persons who are arrested in Josephine County, including persons arrested in the cities of Grants Pass and Cave Junction, and in the unincorporated areas of Josephine County. The Adult Jail would also retain its capacity to house inmates who have been convicted of crimes and are serving a court-imposed sentence.

Some revenue from this measure would go toward maintaining the present level of Juvenile Department services by providing funding to keep the Juvenile Detention Center open. Revenue from this measure combined with other funding sources would retain the capacity to lodge 14 youth offenders in the Detention Center, and would provide detention services for youth offenders who are taken into custody in Josephine County. The Juvenile Department provides services to youths under the age of 18 who have had contact with the criminal justice system. Services provided by the Juvenile Department include: crime prevention and criminal accountability programs; gang intervention and graffiti prevention; anti-bullying guidance; substance abuse training; family counseling; short-term lodging for out-of-state runaways; and youth suicide prevention.

Board of County Commissioners

Person responsible for the content of the Statement

Josephine County

Name of the Government Body person represents